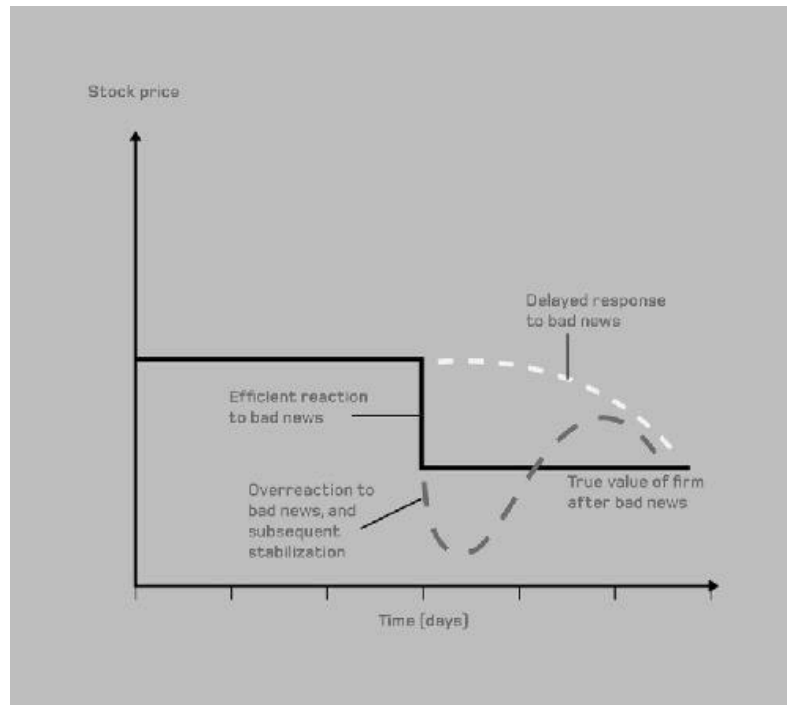


The efficient markets hypothesis

According to the idea of market efficiency, the price of a stock, or any other good, should reflect all the information relevant to valuing it (see [The capital asset pricing model](#)). The efficient markets hypothesis suggests that it is therefore impossible for an investor to consistently 'beat' the market. In fact, if financial markets are really efficient, one might as well invest in a random selection of stocks. Investors constantly monitor the fortunes of companies and watch out for new information that may affect their values. They make money by buying the shares of undervalued firms and selling those of overvalued firms. In efficient markets, price brings supply into line with demand: those who want to buy a stock at a certain price should exactly balance those who want to sell it, and therefore stock prices are always a good indication of the value of a firm. The hypothesis is called into doubt by the fact that markets often seem irrational, with herd behaviour leading to bubbles and crashes. Recent crises have shown that markets don't always take all information into account in an efficient manner.



Efficient and inefficient market responses